

Executive Engineer / Assessing Authority, Urban Electricity Distribution Division v. Commissioner, Kanpur Region / Appellate Authority & Another

High Court of Judicature at Allahabad · Single Judge · 28 November 2018 · Writ-C No. 35071 of 2018 · **The licensee's writ against the Appellate Authority's order dated 02.08.2018 under Section 127 (which reduced the final assessment from Rs. 23,59,763 to Rs. 9,38,142) was dismissed: no theft under Section 135 was made out, the assessment being referable to Section 126; the consumer remained a small/medium (LMV-6) industry, so the connected load factor 'F' in the Annexure 6.3 formula rightly remained 0.5; and the Appellate Authority's findings of fact on a best-judgment assessment disclosed no perversity warranting interference under Article 226.**

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HEADNOTE

The Executive Engineer/Assessing Authority (licensee) challenged an order dated 02.08.2018 of the Appellate Authority under Section 127 of the Electricity Act, 2003, which partly allowed the consumer's appeal and reduced a final Section 126 assessment from Rs. 23,59,763 to Rs. 9,38,142. The consumer ran a powerloom with a sanctioned load of 66 HP (58 KV) and, under a subsidy scheme, could use an additional 10 per cent for auxiliary purposes; on inspection it was found to have exceeded that 10 per cent, and was assessed under Section 126 read with Clause 6.8 and Annexure 6.3 of the U.P. Electricity Supply Code, 2005. The licensee contended that the Appellate Authority had wrongly applied a connected load factor of 0.5 instead of 1.0. The Court dismissed the writ. First, no case of theft under Section 135 was made out and no theft assessment had been made — the assessment was referable to Section 126, only incidental excess auxiliary use being involved, without any deliberate or dishonest intent. Second, as the consumer's total load remained 66 HP, its status as a small and medium industry (rate schedule LMV-6, valid up to 100 HP) was unaffected, so the connected load factor 'F' in the Annexure 6.3 formula (units assessed = $L \times F \times D \times H$) remained 0.5. Third, the Appellate Authority's findings of fact on appraisal of evidence disclosed no perversity, non-application of mind or wrong application of law warranting interference under Article 226; and a best-judgment Section 126 assessment, necessarily involving guesswork, will not be interfered with merely because an alternative would yield a higher or lower figure.

FACTUAL SUMMARY

The petitioner, the Executive Engineer/Assessing Authority of the Urban Electricity Distribution Division, filed the writ petition against the Appellate Authority (Commissioner, Kanpur Region) challenging the appellate order dated 02.08.2018 passed under Section 127 of the Electricity Act, 2003, by which the consumer's (respondent no. 2's) appeal was partly allowed and the final assessment reduced from Rs. 23,59,763 to Rs. 9,38,142. The consumer ran a powerloom with a sanctioned load of 66 HP (58 KV); under a government subsidy scheme it was entitled to use an additional 10 per cent of that load for ancillary/auxiliary purposes (lights, fans, etc.). On inspection it was found to have used electricity for auxiliary purposes in excess of the 10 per cent limit, and was assessed under Section 126 read with Clause 6.8 and Annexure 6.3 of the U.P. Electricity Supply Code, 2005. At the outset, respondent no. 2 raised a maintainability objection (that the array of parties was incorrect), citing Executive Engineer, Electricity Urban Distribution Division, Allahabad v. Electricity Ombudsman (2015 (2) ADJ 196); the petitioner met this by filing an amendment application, which was allowed on 15.11.2018 as formal. The consumer, having discharged the reduced demand of Rs. 9,38,142, was not aggrieved by it. The matter was decided on 28.11.2018 by Saumitra Dayal Singh, J.

REUSABLE CONSTRUCTIONS

1. Under the Annexure 6.3 formula to the U.P. Electricity Supply Code, 2005 (units assessed = $L \times F \times D \times H$), the connected load factor 'F' is 0.5 for a small and medium power consumer; where the consumer's total load remains within its sanctioned load and it retains small/medium-industry (LMV-6) status, 'F' remains 0.5, and mere incidental excess auxiliary use does not change that. **order of 28.11.2018**
2. An assessment for excess or unauthorised use of electricity without any deliberate or dishonest intent is referable to Section 126 (unauthorised use), not Section 135 (theft); no element of theft is made out from incidental excess auxiliary usage. **order of 28.11.2018**

3. A best-judgment assessment under Section 126 necessarily involves guesswork or estimation; so long as it is made on existing facts by applying correct principles, it will not be interfered with merely because an alternative offered would yield a higher or lower figure. **order of 28.11.2018**
4. In exercise of Article 226 jurisdiction, which is confined to judicial review, the High Court will not interfere with an Appellate Authority's findings of fact on appraisal of evidence unless they suffer from perversity, non-application of mind or wrong application of law. **order of 28.11.2018**

HOLDING-UNITS

INTERPLAY · UP-2005::6.8

RATIO

Connected load factor 'F' remains 0.5 for a small/medium (LMV-6) consumer in the Annexure 6.3 assessment formula

QUESTION

In the Annexure 6.3 assessment formula ($L \times F \times D \times H$), should the connected load factor 'F' be 0.5 (small/medium consumer) or 1.0, where a powerloom LMV-6 consumer exceeded the 10 per cent auxiliary-use allowance but its total load stayed within the sanctioned 66 HP?

HOLDING

F remains 0.5. Under Annexure 6.3 to the Code, units assessed = $L \times F \times D \times H$, where the connected load factor 'F' is prescribed as 0.5 for small and medium power consumers. As the respondent's total load availed remained 66 HP, its status as a small and medium industry (to which rate schedule LMV-6, valid up to 100 HP, applies) was unaffected by the incidental excess auxiliary use, so the connected load factor 'F' remained 0.5. The licensee's contention that a factor of 1.0 ought to have been applied was rejected. **order of 28.11.2018**

EVIDENCE “under Annexure 6.3 to the Code, the formula for unit assessed is $L \times F \times D \times H$, where 'L' is the connected load; 'F' is the connected load factor; 'D' is the period of unauthorized use, and 'H' is the rate of supply. Load factor has been prescribed as 0.5 for small and medium power consumers.” **order of 28.11.2018**

EVIDENCE “the connected load factory (F) appearing in the formula for units assessed under Annexure 6.3 to the Code would remain 0.5 for the respondent.” **order of 28.11.2018**

FLAG Source is an order-sheet across several dates (23.10.2018-28.11.2018); not paginated, so pins reference the order dates. The reasoned decision is the order of 28.11.2018 by Saumitra Dayal Singh, J. ('load factory' in an evidence quote is a verbatim typo for 'load factor'.)

INTERPLAY · EA2003::126

RATIO

Incidental excess auxiliary use without dishonest intent is a Section 126 unauthorised-use assessment, not Section 135 theft

QUESTION

Where a consumer incidentally exceeds the permitted auxiliary use without any deliberate or dishonest intent, is the matter one of theft under Section 135 or an assessment under Section 126?

HOLDING

It is a Section 126 assessment, not a Section 135 theft. No case of theft was made out and no theft assessment had been made; the assessment was referable to Section 126, and only incidental excess usage of electricity for auxiliary purposes was involved, with no evidence of any deliberate or dishonest intent. The correct consequence was deprivation of the subsidised rate for the excess auxiliary consumption, not a theft charge. **order of 28.11.2018**

EVIDENCE “there is clearly no case of theft made out in the present case and no assessment of theft appears to have been made, inasmuch as the assessment that has been made is referable to Section 126 of the Act and not to Section 135.” **order of 28.11.2018**

EVIDENCE “Only incidental excess usage of electricity for auxiliary purpose is made out.” **order of 28.11.2018**

INTERPLAY · EA2003::127

RATIO

Limited Article 226 review of the Appellate Authority's fact-findings and of a best-judgment Section 126 assessment

QUESTION

To what extent may the High Court, under Article 226, interfere with the Appellate Authority's findings of fact and with a best-judgment assessment under Section 126?

HOLDING

Only to a limited extent. The Appellate Authority's findings of fact, recorded on appraisal of due evidence, did not suffer from perversity, non-application of mind or wrong application of law such as would warrant interference under Article 226, which is confined to judicial review. Moreover, a best-judgment assessment under Section 126 necessarily involves guesswork or estimation; so long as it is made on existing facts by applying correct principles, it will not be interfered with merely because an alternative offered would lead to a higher or lower assessment. The writ was accordingly dismissed. **order of 28.11.2018**

EVIDENCE “the findings of fact recorded by the Appellate Authority upon appraisal of due evidence do not appear to suffer from any perversity or non-application of mind or wrong application of principal of law, as may warrant any interference in exercise of jurisdiction under Article 226 of the Constitution, which is limited to judicial review.” **order of 28.11.2018**

EVIDENCE “In matters of best judgement assessment, as has been made under Section 126 of the Act there always is involved a guess work or estimation. So long as the guess work or estimation appears to have been made on existing fact by applying correct principles, the same may not be interfered merely because an alternative offered by the petitioner may lead to a higher or lower assessment.” **order of 28.11.2018**

PRINCIPLE TAGS

load-factor-0-5-for-small-medium-lmv6-consumer-annexure-6-3

The consumer's total load remaining 66 HP, its LMV-6 small/medium status was unchanged, so the connected load factor 'F' in the Annexure 6.3 formula stayed 0.5; the licensee's plea for 1.0 was rejected. **order of 28.11.2018**

incidental-excess-auxiliary-use-is-s126-not-s135-theft

Only incidental excess auxiliary use, without deliberate or dishonest intent, was found, so the matter was a Section 126 assessment and not a Section 135 theft. **order of 28.11.2018**

limited-article-226-review-of-best-judgment-s126-assessment

The Appellate Authority's fact-findings were not perverse and a best-judgment Section 126 assessment involves estimation, so no interference was warranted under Article 226; the licensee's writ was dismissed. **order of 28.11.2018**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER A HIGHER CONNECTED LOAD FACTOR (1.0) OR A DIFFERENT COMPUTATION COULD APPLY TO A CONSUMER THAT LOSES ITS SMALL/MEDIUM (LMV-6) STATUS

Not reached; on the facts the respondent retained small/medium (LMV-6) status because its total load remained 66 HP, so 'F' remained 0.5 — a change of status was not before the Court. **order of 28.11.2018**

RELATED CASES — SEE ALSO

SCJ-049 — M.D., PVVNL (2012) — an assessment for 'unauthorised use of electricity' referable to Section 126 is a statutory function of the Assessing Officer.

SCJ-057 — M/S Kissan Chilling Udyog (2014) — a Section 126 assessment must follow the Clause 6.8 procedure of the Code.

SCJ-2636 — Sanjay Singh (2017) — Section 126 is the vehicle for assessing unauthorised use, distinct from a Section 135 theft prosecution.

SCJ-050 — M.K. Pathak, Executive Engineer v. Electricity Ombudsman (2018) — a licensee's challenge to a consumer-favourable appellate/forum order (analogous petitioner posture).

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Executive Engineer, Electricity Urban Distribution Division, Allahabad v. Electricity Ombudsman (Appellate Authority) and others</i> 2015 (2) ADJ 196 Allahabad High Court	Cited for the objection that the writ petition did not make a correct array of parties.	Cited by respondent no. 2 on maintainability at the outset; the objection was met by the petitioner filing an amendment application correcting the array of parties, which was allowed on 15.11.2018 as formal. order of 23.10.2018; order of 15.11.2018	Respondent	Referred

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.